

IKF Home Finance Limited (Revised)

September 26, 2024

Facilities/Instruments	Amount (₹ crore)	Rating ¹	Rating Action
Long Term Bank Facilities	1,440.00 (Enhanced from 1,050.00)	CARE A-; Stable	Reaffirmed
Non-Convertible Debentures - I	6.67 (Reduced from 10.00)	CARE A-; Stable	Reaffirmed
Non-Convertible Debentures - II	33.33 (Reduced from 50.00)	CARE A-; Stable	Reaffirmed
Non-Convertible Debentures - III	60.00	CARE A-; Stable	Assigned

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

The ratings assigned to the bank facilities and debt instruments of IKF Home Finance Limited (IKFHF) continues to derive strength from the strong parentage of IKF Finance Limited (IKF) and the resultant synergies in terms of business linkages with common brand identity, shared infrastructure and treasury function besides management and financial support from the parent entity. The rating also factors in the comfortable capital adequacy levels, good asset quality though seasoning continues to be low, consistent profitability aided by income from direct assignment transactions and adequate systems & process. The rating is, however, constrained by the limited track record and relatively small scale of operation, concentrated resource profile, regional concentration of the portfolio, low seasoning of portfolio and inherent risks associated with the borrower profile mostly being self-employed in the informal segment

Rating sensitivities: Factors likely to lead to rating actions
Positive factors

- Improvement in the credit risk profile of the parent, IKF Finance Limited
- Improvement in the scale of operations with sustained profitability while maintaining good asset quality

Negative factors

- Weakening in the credit risk profile of the parent, IKF Finance Limited
- Significant deterioration in asset quality and profitability levels
- Moderation in gearing levels with overall gearing exceeding 5x on a sustained basis.

Analytical approach:

Standalone; factoring in the linkages with the parent, IKF Finance Limited (IKF). IKFHF is a subsidiary of IKF Finance Limited (IKF) and has strong management, operational & financial linkages with its parent company.

Outlook: Stable

The stable outlook reflects the likely continuation of stable credit profile with comfortable capitalisation levels and stable asset quality.

¹Complete definition of ratings assigned are available at www.careedge.in and other CARE Ratings Limited's publications.

Detailed description of the key rating drivers:**Key strengths****Strong parentage with business synergies, operational & financial linkages**

IKFHF is a subsidiary of IKF Finance Limited (IKF, rated CARE A; Stable) and is of strategic importance to IKF group. By virtue of parent subsidiary relationship, IKF provides management and operational support in terms of usage of established branch network & risk management systems of IKF, sourcing of loans, etc. Besides, the company enjoys the shared 'IKF' brand name and access to common group treasury enabling the company to raise resources at competitive rates from banks, financial institutions, and capital markets. Also 40 branches of IKFHF are co-located with the parent. IKF has made cumulative infusion aggregating to Rs.152 crore until Mar 2024. During FY'24 company has raised Rs. 45 crore's of equity from the parent (IKF Finance Limited). CARE Ratings expects continuation of support from the parent going forward as well.

Established in 2002, the group is headed by V G K Prasad, who is present on both the boards of the parent as well as IKFHF. He has more than three decades of experience in asset financing business, and the business operations of the group has benefited from his long-established track record in the auto finance segment and the vast industry network developed over the years. IKFHF is headed by Vasantha Lakshmi (Managing Director), who has nearly a decade of experience in the asset financing domain working in different aspects of the segment, including sales, credit and manpower management. They are well supported by a team of qualified and experienced management team.

Adequate management information system with increase in digitalization

IKFHF had commenced its operation in FY17 and the company has been improving its MIS/technology platform to manage the business growth. With this view, it has implemented customized software by A3S, for ease of underwriting process and to ensure lower turn-around time. Further, IKFHF has support & guidance from its parent company and has setup efficient credit underwriting processes and collection & recovery mechanism. Majority of the company's underwriting is through digital means.

Significant increase in scale of operations in FY24

In the last five years, Company's AUM grew at a CAGR of 46%. AUM stood at Rs.1049 crore as on March 31, 2024 and AUM stood at Rs.1085 as on June 30, 2024. Housing loan forms around 60% of portfolio as on March 31, 2024 (61% as on June 30, 2024). The growth in AUM was led by higher disbursements done during the year. On a y-o-y basis, the disbursements of the company improved from Rs. 361 crore during FY23 to Rs. 468 crore during FY24. During Q1FY25, total disbursements stood at Rs. 75 crore. The company has expanded its branch network from 64 branches as on March 31, 2023 to 79 branches as on March 31, 2024 and further increased to 86 branches as on June 30, 2024. CARE expects the higher growth in AUM to continue with significant addition of branches added in Q1FY25.

Improved Profitability aided by income from direct assignment transactions

During FY24, IKF Home Finance Limited reported a profit after tax (PAT) of ₹23 crore on a total income of ₹147 crore as against a PAT of ₹10.72 crore on a total income of ₹92.62. Income from net gain on derecognition of financial instruments under amortised cost category (DA income) stood at Rs.18.26 crore in FY24 as against Rs.11.13 crore in FY23. NIM stood constant during FY24 at 6.13% as against 6.05% in FY23. With increase in branch productivity, Opex/average assets improved during FY24 and stood at 5.91% (PY: 6.93%). Credit Cost remained low at 0.30% in FY24. With higher DA income and reduction in Opex, ROTA improved during FY'24 and stood at 2.90% in FY24 as against 1.96% during FY23. During Q1FY25, the company reported a PAT of Rs. 9 crore on a total income of Rs.50.17 crore. DA income stood at Rs.10.37 crore in Q1FY25 as well. NIM

and ROTA stood at 6.41% and 1.01% respectively in Q1FY25. CARE Ratings expects the profitability to remain consistent in the medium term with continuation of DA income.

Comfortable capitalisation levels with regular equity infusion from the parent

Capital adequacy stood comfortable with a CAR of 32.00% (PY: 40.70%) as on March 31, 2024 against the regulatory requirement of 15%. The company has raised Rs.44 crore of equity in FY24 through their parent IKF Finance Limited. As on June 30, 2024, CRAR stood at 33.91%. Tier-I CAR stood at 30.75% (PY: 39.45%) as on March 31, 2024 and 32.66% as on June 30, 2024. Capital base acts as a cushion and also enables them to absorb the elevated operating costs in its nascent stages as they increase in size and scale or any other unexpected losses which may arise due to an evolving business scale. CARE expects raising funds through investors and support from parent in terms of equity will continue going forward.

Good asset quality

The asset quality continues to remain satisfactory. GNPA stood at 0.79% as on June 30, 2024 as against 0.76% respectively as on March 31, 2024 (March 31, 2023: 0.94%). The outstanding OTR assets stood at Rs. 4.55 crore as on March 31, 2024 & Rs. 4.00 crore as on June 30, 2024 which formed around 0.43% & 0.35% of its AUM respectively. As a result, Total Net stressed assets (NNPA + net restructured) stood at 1.03% as on March 31, 2024 as against 1.54% as on March 31, 2023.

Though the asset quality remained comfortable, the portfolio seasoning continues to remain low considering the longer tenure nature of its loan assets and its asset quality performance through different economic cycles and geographies is yet to be established. Going forward, the ability of the company to maintain asset quality considering the expansion in new regions would be critical to the earnings profile of the company. With loans primarily towards the needs of the self-employed customers in the informal low and middle-income segment asset quality metrics is highly susceptible to the impact of any economic downturn.

Key weaknesses

Limited track record and small scale of operations with geographically concentrated portfolio

IKFHF started operations in FY17 and hence the track record of the company remains limited considering long term nature of the loan product. Although the AUM has witnessed continuous growth over past few years, the scale of operations continues to remain relatively small with AUM of Rs. 1049 crore (Rs.1085 crore as on June 30, 2024) and a tangible net worth of Rs.212 crore as on March 31, 2024 (June 30, 2024: Rs. 222 crore). Though the company has expanded their presence in Maharashtra and Gujarat, the portfolio remains concentrated in South India with Telangana constituting for 39.62% of the portfolio outstanding as on March 31, 2024 (39.93% as on June 30, 2024). Southern states (Telangana, Andhra Pradesh, Tamilnadu and Karnataka) contribute to 79.57% of AUM as on March 31, 2024 (80.40% as on June 30, 2024). CARE Ratings expects the portfolio to remain concentrated in the South Indian states in the medium term.

Concentrated resource & funding profile

Majority of the new borrowings during FY24 have come in the form of term loans from Banks. The share of borrowings through term loans from banks has increased from 56% as on March 31, 2023 to 66% as on March 31, 2024. The share of term loans from NBFCs has moderated from 26% as on March 31, 2023 to 20% as on March 31, 2024. The share of NHB has increased from 4% as on March 31, 2023 to 7% as on March 31, 2024. The share of NCD has been moderated from 14% as on March 31, 2023 to 7% as on March 31, 2024. The share of term loans from banks, term loans from NBFCs, NHB and NCD stood at 64%, 18%, 11% and 6% respectively as on June 30, 2024. The company, being a subsidiary of IKF, gets support in availing

funds from large banks and financial institutions using parent's relationship. Also, to manage the loan against property (LAP) portfolio, the company is considering the co-lending option which might help to improve its spread and maintain profitability.

Inherent risk associated with borrower class

IKFHF is primarily lending towards the needs of the self-employed customers in the informal low and middle-income segment. The company is lending at average yield of 16% and as the segment is highly susceptible to the impact of any adverse economic downturn, the inherent risk associated with this customer profile remains. As on June 30, 2024, 65% were self-employed and remaining 35% were salaried segment. The ability of the company to limit credit costs while maintaining the sustainable yield and good asset quality while increasing the scale of operations would be important from the credit perspective.

Liquidity: Adequate

As per ALM submitted by the company, the company faces negative cumulative mismatch across buckets within 1 year which is a characteristic of the HFCs wherein loans extended to borrowers have long tenure against comparatively shorter tenure of liabilities owing to lack of availability of equally maturing long-term funds. As on June 30, 2024, the company had Rs. 36.35 crore of unencumbered cash balance, Rs.104 crore of unutilized sanctions. Considering the collections (including prepayments) along with cash balance, unutilized limits and need based support from the parent IKF Finance Limited, the company is expected to manage its liquidity.

Environment, social, and governance (ESG) risks: NA

Applicable criteria

[Policy on default recognition](#)

[Factoring Linkages Parent Sub JV Group](#)

[Financial Ratios - Financial Sector](#)

[Rating Outlook and Credit Watch](#)

[Housing Finance Companies](#)

About the company and industry

Industry classification

Macro-Economic Indicator	Sector	Industry	Basic Industry
Financial Services	Financial Services	Finance	Housing Finance Company

Incorporated in 2002 as IKF Financial Services Private Limited, IKF is registered as Housing Finance Company (HFC) and is primarily engaged in providing home loan products/refinance solutions. The company has presence across the States of Andhra Pradesh, Telangana, Karnataka, Tamil Nadu, Maharashtra and Gujarat. IKFHF has an AUM of Rs.1085 crore and has 35% of its portfolio to the salaried segment & the rest towards self-employed segment as on June 30, 2024. The company was initially promoted by the promoters of IKF Finance Limited. However, the company was acquired by IKF Finance Limited in December 2018. IKF Finance Ltd is the group's major asset financing company and non-deposit taking NBFC primarily engaged in the business of commercial vehicle, construction equipment and SME segment financing. IKF Finance Ltd. holds 89.89% stake in the company while the balance shareholding lies with the promoters as on June 30, 2024.

Brief Financials (₹ crore)	March 31, 2023 (A)	March 31, 2024 (A)	June 30, 2024 (U/A)
Total operating income	92	147	50
PAT	10	23	10
Interest coverage (times)	1.36	1.50	1.68
Total Assets	683	951	992
Net NPA (%)	0.59	0.56	0.81
ROTA (%)	1.96	2.90	4.05

A: Audited UA: Unaudited; Note: these are latest available financial results

Status of non-cooperation with previous CRA: Not Applicable

Any other information: Not Applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

Complexity level of instruments rated: Annexure-4

Lender details: Annexure-5

Annexure-1: Details of instruments/facilities

Name of the Instrument	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Non-convertible debentures – I & II	INE02VP08022	31-Aug-23	10.85%	31-Aug-26	40.00	CARE A-; Stable
Non-convertible debentures – III (Proposed)		-	-	-	60.00	CARE A-; Stable
Fund-based - LT-Cash Credit		-	-	-	40.00	CARE A-; Stable
Fund-based - LT-Term Loan		-	-	July -33	1400.00	CARE A-; Stable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024	Date(s) and Rating(s) assigned in 2022-2023	Date(s) and Rating(s) assigned in 2021-2022
1	Fund-based - LT-Term Loan	LT	1400.00	CARE A- ; Stable	-	1)CARE A-; Stable (29-Sep-23)	1)CARE A-; Stable (04-Oct-22)	1)CARE A-; Stable (05-Oct-21)
2	Fund-based - LT-Cash Credit	LT	40.00	CARE A- ; Stable	-	1)CARE A-; Stable (29-Sep-23)	1)CARE A-; Stable (04-Oct-22)	1)CARE A-; Stable (05-Oct-21)
3	Debentures-Non Convertible Debentures	LT	6.67	CARE A- ; Stable	-	1)CARE A-; Stable (29-Sep-23)	1)CARE A-; Stable (04-Oct-22)	1)CARE A-; Stable (05-Oct-21)
4	Debentures-Non Convertible Debentures	LT	33.33	CARE A- ; Stable	-	1)CARE A-; Stable (29-Sep-23)	1)CARE A-; Stable (04-Oct-22)	1)CARE A-; Stable (05-Oct-21)
5	Debt-Subordinate Debt	LT	-	-	-	1)Withdrawn (29-Sep-23)	1)CARE A-; Stable (04-Oct-22)	1)CARE A-; Stable (05-Oct-21)
6	Debentures-Non Convertible Debentures	LT	60.00	CARE A- ; Stable				

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities – Not Applicable
Annexure-4: Complexity level of instruments rated

Sr. No.	Name of the Instrument	Complexity Level
1	Debentures-Non Convertible Debentures	Simple
2	Fund-based - LT-Cash Credit	Simple
3	Fund-based - LT-Term Loan	Simple

Annexure-5: Lender details

To view the lender wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CARE Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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